

HYDERABAD

The city is facing a situation similar to Bangalore. Real estate prices are driven by boom and slump in the information technology industry. The slowdown in the infotech sector coupled with oversupply is having a telling impact on property prices. Real estate consultants expect a 20 per cent drop in prices. Suburbs are likely to witness maximum correction.

	BANJARA HILLS	HIGH-TECH CITY	BEGUMPET	SHAMIRPET	NARAYANGUDA
DECEMBER 2007	6,000-7,000	3,500-4,500	4,500-6,000	1,400-1,500	2,000-2,500
AUGUST 2008	5,500-7,000	3,500-4,200	4,500-5,500	1,200-1,400	1,800-2,500
2009*	5,500-7,000	3,200-4,000	4,500-5,500	1,000-1,200	1,800-2,200

CHENNAI

The euphoria of last year has clearly died down. Prices are expected to remain stable or see a marginal drop. Plush developments on the outskirts of the city at Vadkapattu and Old Mahabalipuram Road are finding no takers. It's the same story for rentals as well, which have come down from Rs 35 to 40 per sq ft until a few months ago to Rs 25 to 28 per sq ft.

	ADYAR	MYLAPORE	NUNGAMBAKKAM	EGMORE	GUINDY
DECEMBER 2007	4,500-9,000	5,000-6,000	7,000-14,000	5,000-7,000	4,000-5,500
AUGUST 2008	4,500-7,500	5,000-6,000	7,000-12,000	5,000-6,000	4,000-5,000
2009*	4,500-7,500	4,800-5,800	7,000-12,000	5,000-5,600	3,800-5,000

All figures in Rs per sq ft. Prices for 2007 and 2008 from industry sources. *predictions by Celedon Re

ready this year for a property it is developing. Orbit Corporation, a Mumbai-based developer, is offering a 15 per cent discount on its residential projects in central Mumbai.

Everything is negotiable. For instance, in Mumbai, Nahar Builders is giving an EMI holiday to buyers. So buyers have to book a property by paying 20 per cent upfront and the developer helps the buyer get a loan approval. However, the borrower does not start paying EMIs till possession. Ansal API is giving this benefit to buyers in its Mohali project. In the interim period, the loan is serviced by the developer.

While schemes like these are attractive, they work well in areas where there is oversupply, which is a rarity in Mumbai—except in some pockets. Nirmal Lifestyle, a big developer in central suburb Mulund, is offering a waiver on stamp duty and registration, which is typically 5 per cent of the value of the property. While tangible benefits are welcome, gimmicks are huge in some markets. Orange Properties, for instance, which markets projects of other developers, till recently, was offering a Maruti SX4 free with a flat on Bannerghata Road, Bangalore,

costing Rs 42 lakh. This adds up to a benefit of roughly 15 per cent. Currently, the firm is marketing plots of land in European Township near Budhigere Cross Road, off the new airport at Devenahalli. The company is offering a Maruti Swift with 40X60 sq ft plot of land which will cost Rs 33 lakh, without registration and stamp duty. Some other developers in Thane are offering land with a promise to buy it back in three years. Of course, the land is 85 km from Mumbai.

Soaring costs have forced some builders to sell projects, as a going concern, with all the permissions. For instance, Omaxe has bought Triveni Group's 10 lakh sq ft residential project in Faridabad for Rs 80 crore. Rohtas Goel, CMD of Omaxe, says the company is in talks with several such builders to buy their projects. Explaining the phenomenon, he says: "The construction industry's honeymoon period is clearly over and profits of 35-40 per cent will not be possible any more as speculators are out of the market." With home loan rates rising more than 400 basis points since January 2006 and property prices mounting by 50-100 per



IN DOLDRUMS:
An unfinished
project in Mumbai

"Builders who had acquired land at lower costs a few years ago can hold on to prices, many just can't."

ROHTAS GOEL
CMD, OMAXE

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